

Stronger power lead frame outlook in 2H26-2027F

Heat spreader products the cherry on top; maintain Buy

We see further 2026/27F growth potential from power lead frame and heat spreader

Our recent industry channel checks suggests: **1) stronger power lead frame demand, especially from AI datacenter related in 2H26-2027F:** As mentioned *in our previous note*, global integrated device manufacturers' (IDM) 3Q26E sales outlook continues to show strength (3Q26E weighted average revenue y-y of +17% / q-q of +7%, vs +18% / +11% in 2Q26; this implies the fifth quarter of y-y expansion since 3Q25). Specifically, a few of SDI's key IDM customers at their 2Q26 earnings calls raised 2026-27E AI datacenter revenue with stronger demand and faster capacity expansion (two customers' 2027E-related sales should double y-y, according to our channel checks). We expect SDI's 2027F power lead frame revenue from AI-related field to realize 134% y-y growth (15% of total sales vs 8% in 2026F), with 60 ongoing projects currently; and **2) favorable pricing and product mix leading to better 2026/27F margin profile:** Given supply tightness across several end markets, we expect further pricing improvement for SDI in 2H26F, after two rounds of price hikes in 1H26. In addition, given stronger demand from auto and AI datacenter (with GM better than other end markets), we expect SDI's 2H26F/FY27F GM to reach 22.1%/23.0% vs 20.0% in 1H26.

2026-27F to mark the milestone of heat spreader business development

In addition to continued capacity expansion for power lead frame products, SDI's management has decided to add more stamping equipment (ranging from 100-ton, 200-ton, to 500-ton) in 2026-27E to handle increasing demand for its newly-developed product – heat spreader (including hat, cavity, ring/stiffener, and micro-channel lid, or MCL). The company will focus on automotive, ASIC/CPU, and networking in AI datacenter fields. Given superior manufacturing capability (20-30μ coplanarity vs 50-70μ of industrial average), it has secured four major orders from OSAT, auto, and IC design customers, with management expecting major revenue contribution from 2027E (we estimate 3%/7% of 2027/28F total sales). We believe there can be sales and earnings contribution upside once we are able to confirm more order receiving from higher-end products.

Raise 2026/27F EPS assumptions by 8%/17%; TP raised to TWD327

We raise 2026/27F sales and earnings growth (*Fig. 1*) with stronger order placing from global IDM customers, along with initial revenue contribution from heat spreader products. Our new TP of TWD327 is based on an unchanged multiple of 28x 2027F EPS of TWD11.68 (previously 28x 2H26-1H27F EPS of TWD8.96), vs SDI's historical average of 22.5x since 2015 (a range of 5.6x to 70.6x). The stock currently trades at 20x/16x 2027/28F EPS.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	10,247	14,127	14,830	16,927	19,185	18,882	23,860
Reported net profit (mn)	303	1,348	1,455	1,931	2,263	2,296	2,871
Normalised net profit (mn)	303	1,348	1,455	1,931	2,263	2,296	2,871
FD normalised EPS	1.66	6.96	7.51	9.97	11.68	11.85	14.82
FD norm. EPS growth (%)	-55.1	318.1	351.3	43.2	55.5	18.9	26.8
FD normalised P/E (x)	141.5	–	31.3	–	20.2	–	15.9
EV/EBITDA (x)	39.1	–	17.0	–	12.2	–	10.0
Price/book (x)	5.9	–	5.3	–	4.6	–	4.1
Dividend yield (%)	1.1	–	0.5	–	1.9	–	3.0
ROE (%)	4.1	17.2	18.4	21.6	24.7	23.0	27.3
Net debt/equity (%)	7.2	3.5	5.1	net cash	3.9	net cash	3.0

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Increased from TWD 251.00 **TWD 327.00**

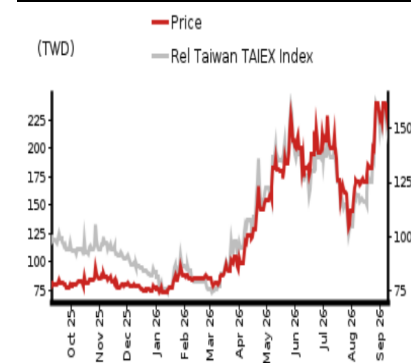
Closing price 10 September 2026 **TWD 235.50**

Implied upside **+38.9%**

Market Cap (USD mn) 1,447.6

ADT (USD mn) 38.7

Relative performance chart



Source: LSEG, Nomura

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Key data on SDI Corporation

Performance

(%)	1M	3M	12M		
Absolute (TWD)	39.8	34.6	190.0	M cap (USDmn)	1,447.6
Absolute (USD)	42.8	34.9	178.5	Free float (%)	80.0
Rel to Taiwan	34.7	25.4	102.7	3-mth ADT (USDmn)	38.7
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	10,815	10,247	14,830	19,185	23,860
Cost of goods sold	-9,094	-8,882	-11,683	-14,764	-18,296
Gross profit	1,721	1,365	3,147	4,421	5,565
SG&A	-892	-866	-1,231	-1,471	-1,833
Employee share expense					
Operating profit	829	499	1,917	2,950	3,732
EBITDA	1,535	1,200	2,690	3,762	4,583
Depreciation	-707	-701	-773	-812	-851
Amortisation					
EBIT	829	499	1,917	2,950	3,732
Net interest expense	-50	-52	-47	-44	-44
Associates & JCEs	122	-19	25	0	0
Other income	-4	12	38	46	46
Earnings before tax	897	439	1,933	2,952	3,734
Income tax	-167	-95	-415	-620	-784
Net profit after tax	730	345	1,519	2,332	2,950
Minority interests	-55	-42	-63	-69	-79
Other items					
Preferred dividends					
Normalised NPAT	675	303	1,455	2,263	2,871
Extraordinary items	0	0			
Reported NPAT	675	303	1,455	2,263	2,871
Dividends	-474	-455	-213	-873	-1,358
Transfer to reserves	202	-152	1,242	1,390	1,513

Valuations and ratios

Reported P/E (x)	63.5	141.5	31.3	20.2	15.9
Normalised P/E (x)	63.5	141.5	31.3	20.2	15.9
FD normalised P/E (x)	63.5	141.5	31.3	20.2	15.9
Dividend yield (%)	1.1	1.1	0.5	1.9	3.0
Price/cashflow (x)	36.1	33.4	28.4	28.1	21.7
Price/book (x)	5.8	5.9	5.3	4.6	4.1
EV/EBITDA (x)	28.3	39.1	17.0	12.2	10.0
EV/EBIT (x)	49.3	96.1	23.7	15.6	12.3
Gross margin (%)	15.9	13.3	21.2	23.0	23.3
EBITDA margin (%)	14.2	11.7	18.1	19.6	19.2
EBIT margin (%)	7.7	4.9	12.9	15.4	15.6
Net margin (%)	6.2	3.0	9.8	11.8	12.0
Effective tax rate (%)	18.6	21.5	21.5	21.0	21.0
Dividend payout (%)	70.1	150.2	14.6	38.6	47.3
ROE (%)	9.3	4.1	18.4	24.7	27.3
ROA (pretax %)	8.4	4.1	15.7	21.4	24.2

Growth (%)

Revenue	-0.4	-5.2	44.7	29.4	24.4
EBITDA	-7.0	-21.9	124.2	39.9	21.8
Normalised EPS	-9.1	-55.1	351.3	55.5	26.8
Normalised FDEPS	-9.1	-55.1	351.3	55.5	26.8

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,535	1,200	2,690	3,762	4,583
Change in working capital	-472	-74	-621	-1,454	-1,619
Other operating cashflow	126	158	-461	-687	-861
Cashflow from operations	1,190	1,284	1,608	1,621	2,102
Capital expenditure	-587	-933	-1,300	-700	-700
Free cashflow	603	351	308	921	1,402
Reduction in investments	-69	33	0	0	0
Net acquisitions					
Dec in other LT assets	8	-13	-16	100	100
Inc in other LT liabilities	24	1,137	0	0	0
Adjustments	67	-1,229	16	-100	-100
CF after investing acts	633	280	308	921	1,402
Cash dividends	-474	-455	-213	-873	-1,358
Equity issue	0	0	0	0	0
Debt issue	121	-997	300	200	300
Convertible debt issue					
Others	-45	1,127	0	0	0
CF from financial acts	-398	-326	87	-673	-1,058
Net cashflow	236	-46	395	248	344
Beginning cash	837	1,073	1,026	1,421	1,669
Ending cash	1,073	1,026	1,421	1,669	2,013
Ending net debt	1,298	526	431	383	339

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,073	1,026	1,421	1,669	2,013
Marketable securities	89	58	58	58	58
Accounts receivable	2,112	2,012	2,224	2,878	3,579
Inventories	3,654	3,807	4,323	5,463	6,769
Other current assets	121	165	165	165	165
Total current assets	7,049	7,068	8,191	10,232	12,584
LT investments	23	21	21	21	21
Fixed assets	5,062	5,232	5,759	5,647	5,496
Goodwill	0	0	0	0	0
Other intangible assets					
Other LT assets	402	415	431	331	231
Total assets	12,535	12,736	14,402	16,231	18,332
Short-term debt	836	1,077	1,377	1,577	1,877
Accounts payable	915	1,178	1,285	1,624	2,013
Other current liabilities	1,253	1,013	1,013	1,013	1,013
Total current liabilities	3,004	3,269	3,676	4,215	4,903
Long-term debt	1,535	475	475	475	475
Convertible debt					
Other LT liabilities	578	1,715	1,715	1,715	1,715
Total liabilities	5,117	5,459	5,866	6,405	7,093
Minority interest					
Preferred stock					
Common stock	1,821	1,821	1,937	1,937	1,937
Retained earnings	4,812	4,656	5,798	7,088	8,501
Proposed dividends					
Other equity and reserves	785	800	800	800	800
Total shareholders' equity	7,418	7,277	8,536	9,826	11,239
Total equity & liabilities	12,535	12,736	14,402	16,231	18,332

Liquidity (x)

Current ratio	2.35	2.16	2.23	2.43	2.57
Interest cover	16.4	9.5	41.2	67.1	84.8

Leverage

Net debt/EBITDA (x)	0.85	0.44	0.16	0.10	0.07
Net debt/equity (%)	17.5	7.2	5.1	3.9	3.0

Per share

Reported EPS (TWD)	3.71	1.66	7.51	11.68	14.82
Norm EPS (TWD)	3.71	1.66	7.51	11.68	14.82
FD norm EPS (TWD)	3.71	1.66	7.51	11.68	14.82
BVPS (TWD)	40.73	39.96	44.06	50.72	58.01
DPS (TWD)	2.60	2.50	1.10	4.51	7.01

Activity (days)

Days receivable	68.0	73.5	52.1	48.5	49.5
Days inventory	145.1	153.3	127.0	121.0	122.4
Days payable	36.5	43.0	38.5	36.0	36.4
Cash cycle	176.6	183.8	140.7	133.5	135.5

Source: Company data, Nomura estimates

Company profile

SDI is a leading global semiconductor lead frame supplier headquartered in Taiwan. The company is the largest power semiconductor lead frame manufacturer in the world, with its primary focus on automotive, industrial and AI applications.

Valuation Methodology

Our target price of TWD327 is based on 28x 2027F EPS of TWD11.68 vs historical average of 22.5x since 2015 with a range of 5.6x to 70.6x. The benchmark for this stock is TAIEX.

Risks that may impede the achievement of the target price

Downside risks: 1) slower-than-expected auto, industrial, and consumer electronic demand recovery, 2) delays of new products' mass production, 3) pricing competition from global peers, and 4) dramatic copper price drop in short periods, which should be a negative impact on SDI's near-term GM.

ESG

With the core philosophy of “sincerity, stability, challenge, and innovation,” SDI is dedicated to environmental protection, social responsibility, respecting human rights, and transparent corporate governance

Financial analysis and forecasts

Fig. 1: SDI: earnings forecast revision

TWDmn	New forecasts			Previous forecasts			Change (%)		
	2025A	2026F	2027F	2025A	2026F	2027F	2025A	2026F	2027F
Total sales	10,247	14,830	19,185	10,247	14,127	16,927	-	5.0	13.3
Gross profit	1,365	3,147	4,421	1,365	2,967	3,836	-	6.1	15.3
Operating profit	499	1,917	2,950	499	1,778	2,529	-	7.8	16.7
Pre-tax profit	439	1,933	2,952	439	1,797	2,531	-	7.6	16.6
Net profit	303	1,455	2,263	303	1,348	1,931	-	8.0	17.2
EPS (TWD)	1.66	7.51	11.68	1.66	6.96	9.97	-	7.9	17.2
Margins (%)									
Gross margin	13.3	21.2	23.0	13.3	21.0	22.7	-	0.2	0.4
Operating margin	4.9	12.9	15.4	4.9	12.6	14.9	-	0.3	0.4
Pretax margin	4.3	13.0	15.4	4.3	12.7	15.0	-	0.3	0.4
Net margin	3.0	9.8	11.8	3.0	9.5	11.4	-	0.3	0.4

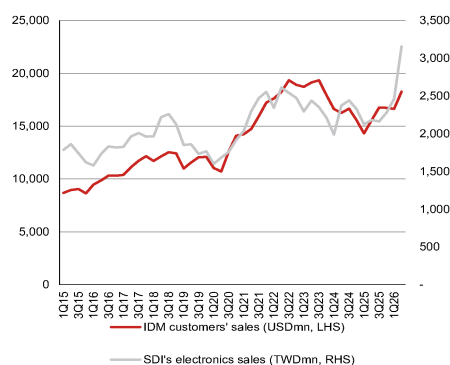
Source: Company data, Nomura estimates

Fig. 2: SDI: quarterly financial highlights

(TWDmn)	2024	2025	2026F	2027F	2028F	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
Net sales	10,815	10,247	14,830	19,185	23,860	2,525	2,595	2,543	2,584	2,805	3,559	4,126	4,340	4,367	4,717	5,009	5,082
COGS	9,094	8,882	11,683	14,764	18,296	2,158	2,323	2,227	2,175	2,269	2,822	3,228	3,364	3,367	3,628	3,848	3,921
Gross profit	1,721	1,365	3,147	4,421	5,565	368	272	316	408	536	737	898	976	1,000	1,089	1,161	1,171
Op expenses	892	866	1,231	1,471	1,833	221	201	213	231	265	321	318	328	345	363	381	382
Op profit	829	499	1,917	2,950	3,732	147	71	104	177	272	417	580	648	655	726	781	789
Non-op income	68	(59)	17	2	2	5	(109)	23	21	20	(3)	0	(1)	(1)	2	2	(1)
Pre-tax profit	897	439	1,933	2,952	3,734	152	(38)	127	198	292	414	580	647	654	728	783	788
Net profit	675	303	1,455	2,263	2,871	113	(42)	87	146	222	303	437	494	501	559	598	605
EPS (TWD)	3.71	1.66	7.51	11.68	14.82	0.62	-0.23	0.48	0.80	1.14	1.56	2.25	2.55	2.59	2.89	3.09	3.12
Operating ratios (%)																	
Gross margin	15.9%	13.3%	21.2%	23.0%	23.3%	14.6%	10.5%	12.4%	15.8%	19.1%	20.7%	21.8%	22.5%	22.9%	23.1%	23.2%	23.0%
Operating margin	7.7%	4.9%	12.9%	15.4%	15.6%	5.8%	2.7%	4.1%	6.9%	9.7%	11.7%	14.1%	14.9%	15.0%	15.4%	15.6%	15.5%
Pre-tax profit margin	8.3%	4.3%	13.0%	15.4%	15.6%	6.0%	-1.5%	5.0%	7.7%	10.4%	11.6%	14.1%	14.9%	15.0%	15.4%	15.6%	15.5%
Net profit margin	6.2%	3.0%	9.8%	11.8%	12.0%	4.5%	-1.6%	3.4%	5.6%	7.9%	8.5%	10.6%	11.4%	11.5%	11.9%	11.9%	11.9%
Year-to-year (%)																	
Net sales	0%	-5%	45%	29%	24%	6%	-7%	-12%	-6%	11%	37%	62%	68%	56%	33%	21%	17%
Gross profit	-7%	-21%	131%	40%	26%	-6%	-49%	-31%	18%	46%	171%	184%	139%	86%	48%	29%	20%
Operating profit	-15%	-40%	284%	54%	26%	-12%	-76%	-54%	32%	85%	486%	460%	266%	141%	74%	35%	22%
Pre-tax profit	-10%	-51%	340%	53%	26%	-30%	-112%	-36%	12%	92%	N.M.	357%	226%	124%	76%	35%	22%
Net profit	-9%	-55%	380%	56%	27%	-31%	-119%	-44%	7%	97%	N.M.	400%	239%	126%	84%	37%	22%
Qtr-to-Qtr (%)																	
Net sales						-8%	3%	-2%	2%	9%	27%	16%	5%	1%	8%	6%	2%
Gross profit						6%	-26%	16%	29%	31%	37%	22%	9%	2%	9%	7%	1%
Operating profit						9%	-52%	46%	71%	54%	53%	39%	12%	1%	11%	8%	1%
Pre-tax profit						-14%	-125%	N.M.	56%	47%	42%	40%	12%	1%	11%	7%	1%
Net profit						-17%	-138%	N.M.	67%	52%	37%	44%	13%	1%	12%	7%	1%

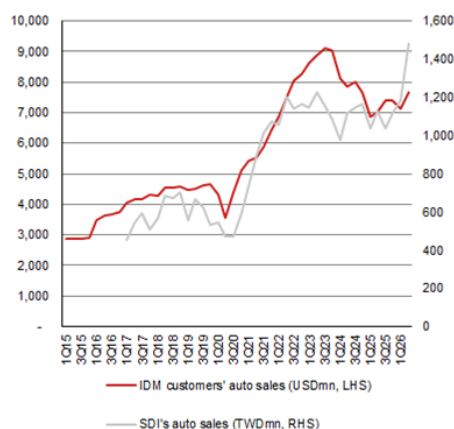
Source: Company data, Nomura estimates

Fig. 3: Quarterly sales comparison



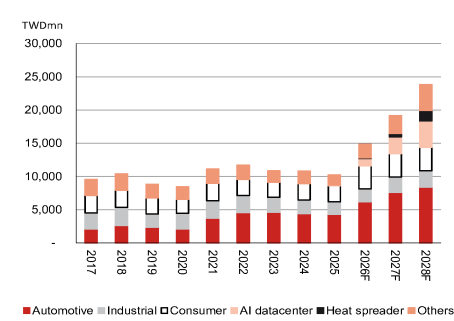
Source: Company data, Nomura estimates

Fig. 4: Quarterly auto sales



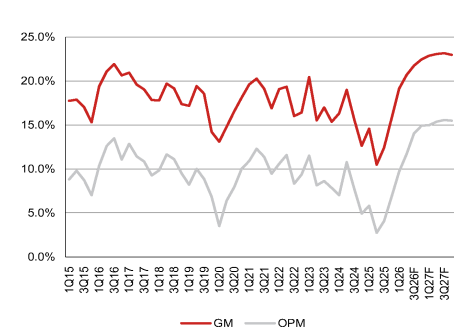
Source: Company data, Nomura estimates

Fig. 5: SDI: sales mix by end application



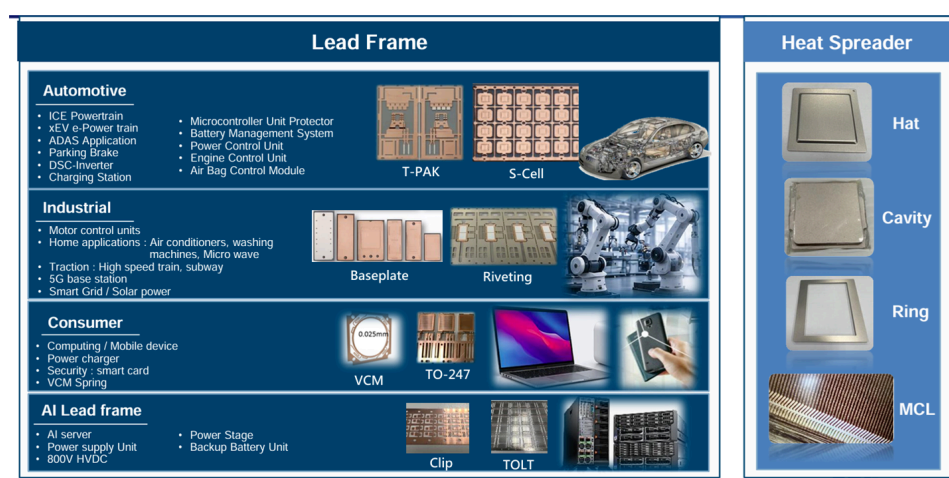
Source: Company data, Nomura estimates

Fig. 6: SDI: quarterly GM and OPM



Source: Company data, Nomura estimates

Fig. 7: SDI's electronic product offerings



Source: Company data, Nomura research

Fig. 8: Power discrete ASP and lead time

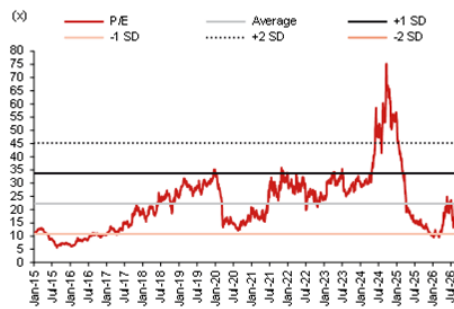
ASP by product																					
q-q trend	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26		
Diodes	Flat to up	Flat to up	Flat to up	Flat to up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat to up	Flat to up		
LV MOSFET	Flat to up	Flat to up	Flat to up	Flat to up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat to up	Flat to up		
HV MOSFET	Flat to up	Flat to up	Flat to up	Flat to up	Up	Up	Flat to up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat to up		
Small signal MOS	Up	Up	Flat to up	Up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Up	Up		
WBG MOSFET	Up	Flat to up	Flat to up	Flat to up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat to up		
IGBT	Up	Up	Flat	Flat to up	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat to up		
Lead time by product																					
q-q trend	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26		
Diodes	Flat to up	Flat	Flat	Down to flat	Down	Down	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Flat	Flat	Flat to up	Flat to up	Up	Up	Up		
LV MOSFET	Flat to up	Flat to up	Flat	Down to flat	Down to flat	Down to flat	Down	Down	Down	Down	Flat	Down to flat	Flat to up	Flat to up	Up	Up	Up	Up	Up		
HV MOSFET	Flat to up	Flat to up	Flat	Flat	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Flat	Flat	Flat to up	Flat to up	Up	Up	Up	Up	Up		
Small signal MOS	Up	Up	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Down to flat	Down	Flat	Flat	Flat	Flat	Flat to up	Flat to up	Up	Up	Up	Up		
WBG MOSFET	Up	Up	Flat	Flat	Flat	Flat	Flat	Flat to up	Flat	Down to flat	Down to flat	Flat	Flat	Flat to up	Flat to up	Flat to up	Flat	Flat to up	Flat to up		
IGBT	Up	Up	Flat	Flat	Flat	Flat	Flat	Flat	Down to flat	Down to flat	Flat	Flat	Flat to up	Flat to up	Up	Up	Up	Flat to up	Flat to up		

Source: Future Electronics, Nomura research

Fig. 9: Select IDMs' AI datacenter revenue outlook

IDM	AI datacenter outlook
Infineon	During 3Q26 earnings call, the company raised AI datacenter related revenue target to be more than €1.6bn/€2.5bn in FY26/27E vs €700mn in FY25.
STM	STM expects datacenter and AI infrastructure revenue to reach USD1bn/2bn in 2026/27E during 2Q26 earnings call (previous 2026E outlook: nicely above USD500mn)
Renesas	Renesas expects AI and IT infrastructure will drive 40% of its total revenue within the next 3 to 4 years (by 2029-30E)
Onsemi	Onsemi expects its AI-related revenue to raise from USD250mn in 2025 to more than double in 2026E

Source: Company data, Nomura research

Fig. 10: SDI: 12M forward P/E

Source: Company data, Nomura estimates

Fig. 11: SDI: 12M forward P/B

Source: Company data, Nomura estimates

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
SDI Corporation	2351 TT	TWD 235.50	10-Sep-2026	Buy	N/A	

SDI Corporation (2351 TT)

TWD 235.50 (10-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of TWD327 is based on 28x 2027F EPS of TWD11.68 vs historical average of 22.5x since 2015 with a range of 5.6x to 70.6x. The benchmark for is this stock is TAIEX.

Risks that may impede the achievement of the target price Downside risks: 1) slower-than-expected auto, industrial, and consumer electronic demand recovery, 2) delays of new products' mass production, 3) pricing competition from global peers, and 4) dramatic copper price drop in short periods, which should be a negative impact on SDI's near-term GM.

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As at 30 June 2026.

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